Mandaê

Shipping made simple



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Mandaê is a service for small e-commerce, online sellers and individuals that provides the easiest way to ship your stuff.

Our driver shows up, picks up all items, then takes them away to be professionally packed and shipped via the appropriate carrier.

Our team



Karim Hardane - Co-founder & Co-CEO / Product & Operations

Launched Wimdu's operations in the U.K. (a Rocket Internet company). Formerly investment banking (TMT) at JPMorgan. Co-founded LaVoisier, a tourism and leisure company in Lebanon. MSc. Int'l Management & CEMS from HEC–Paris / FGV-São Paulo and Bachelor of Engineering (Programming & Networking), St. Joseph University.



Marcelo Fujimoto - Co-founder & Co-CEO / Customer Development / Acquisition

Significant experience in Brazilian e-commerce and logistics. Co-founder of Babycub, a Brazilian kids' subscription commerce startup. Former private equity at Prospect Partners and investment banking at JPMorgan. MA Accountancy and B.S. Management from Case Western Reserve University.

Advisor



Hans Hickler

25+ years in the transportation, express and logistics industries. Ex-CEO of Agility Logistics (Asia Pacific region) and ex-CEO of DHL Express USA.

The problem

Shipping stuff is a HUGE hassle



- Finding & purchasing packaging
- Carrying stuff to the post office
- Having to wait in line

A waste of valuable time and resources for individuals, and **especially for online merchants and small e-commerce operators** who go through this on a daily basis

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The solution

1



User snaps a photo of the item to be sent with our mobile application

2



A Mandaê messenger shows up at user location to pick up the item

3



We professionally package and forward items to appropriate carrier to be shipped off

- User pays us the same price they'd pay the post office
- Free pick up for 2 or more items (R$ 10 fee for one-item pickups)

Note: Pricing and pricing methodology are subject to change

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Our model and unit economics are possible due to volume discounts and back-end logistics

Unit economics (per item)[1]	R$	%
Avg. shipping revenue	20	*77%*
Pickup fee (wtd avg)	6	*23%*
Revenue per package	**26**	***100%***
Shipping costs	9	*35%*
Pickup costs	2	*9%*
Packing & Materials	1	*5%*
Payment processing	1	*4%*
Total costs per package	14	*52%*
Contribution / package	**12**	***48%***

1

40-70% discounts vs. full price

- Volume discounts on shipping costs with Correios, Total Express and other major carriers
  - Utilizing e-Sedex and other volume contracts

2

Lower pickup costs

- Logistics system to optimize routes
  - Lower total pickup times & maximize driver utilization
- Future sub-systems include demand prediction and driver load utilization



[1] See appendix for more details

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Why you should believe in our model

We tested it and it worked.

In 28 days and with 4 customers, we generated

revenues of R$ 2,644 and **gross profit of R$ 1,075**

	Week 1	Week 2	Week 3	Week 4	Total
Customer #1	21	15	12	16	64
Customer #2	5	4	6	4	19
Customer #3	5	2	3	2	12
Customer #4	2	2	3	2	9
Total shipments	33	23	24	24	104
Total revenues	**R$797**	**R$618**	**R$548**	**R$680**	**R$2.644**
Pro forma costs					
Shipping	R$340	R$237	R$248	R$248	R$1.073
Pickup	60	60	60	60	240
Packaging & materials	40	28	29	29	126
Payment processing	39	30	27	33	130
Total costs	R$479	R$355	R$364	R$370	R$1.568
Contribution	**R$318**	**R$263**	**R$185**	**R$310**	**R$1.075**
% margin	**40%**	**42%**	**34%**	**46%**	**41%**

- Testing was done with 3 small e-commerce businesses and 1 power seller in Rio de Janeiro over the course of 4 weeks
- All revenues are real, but costs are stated on a pro forma "as-if" basis
  - Shipping costs stated as if e-Sedex rates had been applied
  - Pickup costs calculated on a per-hour basis using market costs for driver / fuel usage

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Although there are significant “last-mile” players, the “first-mile” market remains untapped



Research & scheduling

- Correios is default option for most people
- New startups making shipping research easier, mostly for small business:

CARGOBR

SONTRA COM.BR

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“First-mile” providers

- Correios and other transporters offer pickup, but are expensive / only for volume clients
- **No other options; most must do themselves**

Carriers (“Last-mile” providers)

CORREIOS

Total

direct parcel service

TEXLOG

TRANSFOLHA Você vende, a gente entrega

jadlog

FedEx

& 12,000 other transporters

Online commerce growth is fueling the industry



Segmented addressable market (2012)

R$ 9.1 billion

Small e-commerce

R$ 3.4 billion

- **67 million** shipments
- By **29,000** stores
- Avg shipping cost of **R$51**
- **2,319 shipments** / year per store

Online sellers

R$ 1.1 billion

- **21 million** shipments
- By **3 million+** sellers
- Avg shipping cost of **R$53**
- **7.1 shipments** / year per seller

Individuals

R$ 4.6 billion

- **127 million** shipments (PAC & SEDEX)
- By **54 million** households
- Avg shipping cost of **R$36**
- **2.3 shipments** / year per household

Sources: Correios 2012 financial statements, MercadoLivre 2012 10-K, 2012 Nielson study of MercadoLivre sellers, Associação Nacional de Empresas de Transportes de Cargas, IBGE and 2012 PayPal report on online commerce logistics

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People that sell online ship a lot, which means high lifetime values (LTV) for us

Small e-commerce	Power online sellers	Individuals
LTV:	LTV:	LTV:
R$ 1.575	R$ 409	R$ 43
▪ **120 shipments / year**	▪ **24 shipments / year**	▪ **3 shipments / year**
▪ Small-volume stores utilizing platforms such as:	▪ Power sellers on marketplaces such as:	▪ Common, everyday shipments, such as:
		- Gifts for friends & family
		- E-commerce returns
		- Important documents

Note: See appendix for further details and assumptions regarding LTV calculations, and the Market page for macro statistics on average shipments per category. Average shipments for for online sellers have been adjusted up to account for greater concentration of power sellers within our customer base. Average shipments for small e-commerce have been adjusted significantly downwards here for conservatism (assuming just 10 shipments / month here despite macro statistics showing a 20x higher average).

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Distinct customer segments and high LTV's provide several distribution options

CAC could be as low as R$ 2 (CPI), with justification to spend much higher

to acquire online sellers and small e-commerce businesses

Channels	Small e-commerce	Online sellers	Individuals
Mobile ad platforms (Pay-per-download)		✓	✓
Other PPC (Facebook, AdWords, etc.)	✓	✓	✓
Inbound marketing (SEO, blogging/content, earned social media)	✓	✓	✓
Viral / referrals - Each box sent contains Mandaê branding & flyer			✓
Blogger & influencer outreach (Startups, e-commerce & tech)	✓	✓	
Direct email marketing / messaging	✓	✓	
Partnerships with marketplaces & e-commerce platforms (including API development)	✓	✓	
Personalized sales calls	✓		

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In addition to our early beta testers, we have a pipeline of customers eager to use our service

- **100+** power sellers and small e-commerce businesses signed up to use our service

- Based in São Paulo
- Ship on average 1x / week

= R$ 100+ in potential monthly revenues from each

- Partnership discussions with e-commerce platforms & marketplaces eager to offer our service to their users

nuvemshop

The **Shopify of Latin America**, with **thousands** of small e-commerce stores in Brazil

kauplus
A sua loja virtual

1,000+ small e-commerce stores using their platform

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What also excites us? The potential services we can build on top of our platform

We'll pick up your stuff and sell it for you

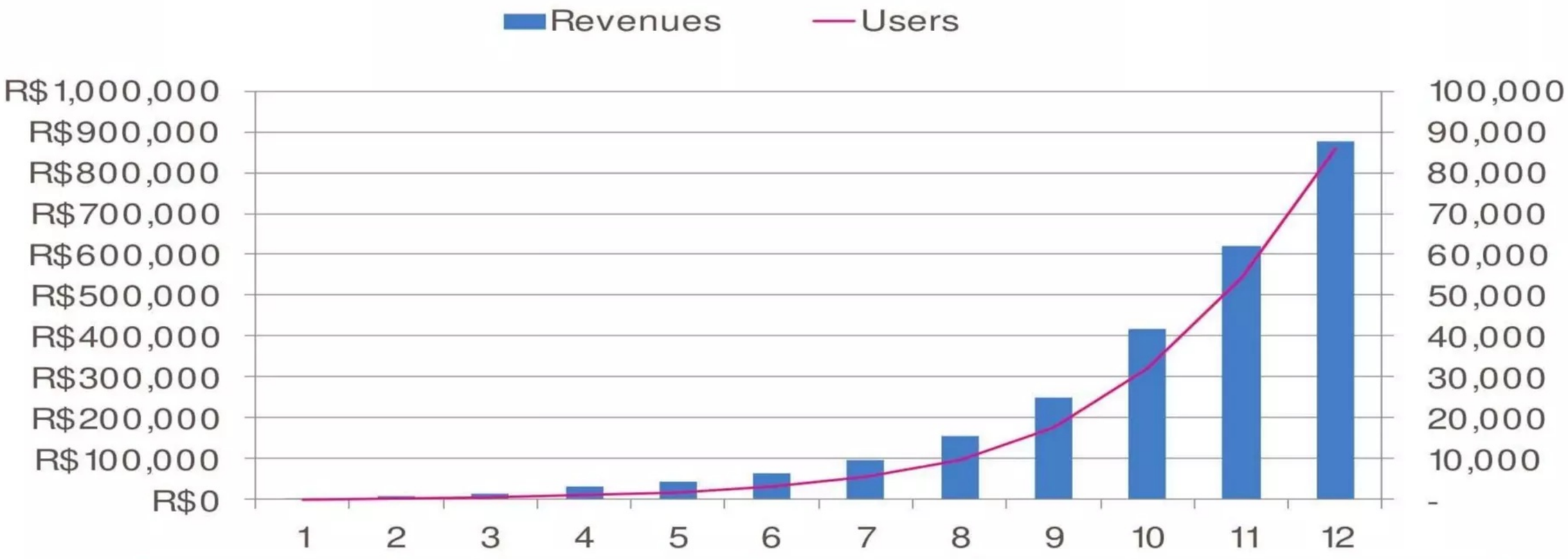
- We come to your place and pickup your box of unwanted items
- We publish them on existing marketplaces
- Commission-based revenues (~30% of product value)

Same-day delivery

When our logistical "web" covers enough geography, other significant markets become game:

- Same-day local delivery market ("motoboys")
- Local/same-day delivery solution for large e-commerce

We generate revenues from Day 1 with initial focus on small e-commerce and power sellers



Small e-commerce and power sellers

- ✓ Minimum pickups and higher shipping volume
- ✓ Regular shipping which generates monthly recurring revenues
- ✓ Predictable volumes for optimized routes
- ✓ Provides a steady base to pursue individual users later in the year

Note: See appendix for a more detailed look at our assumptions

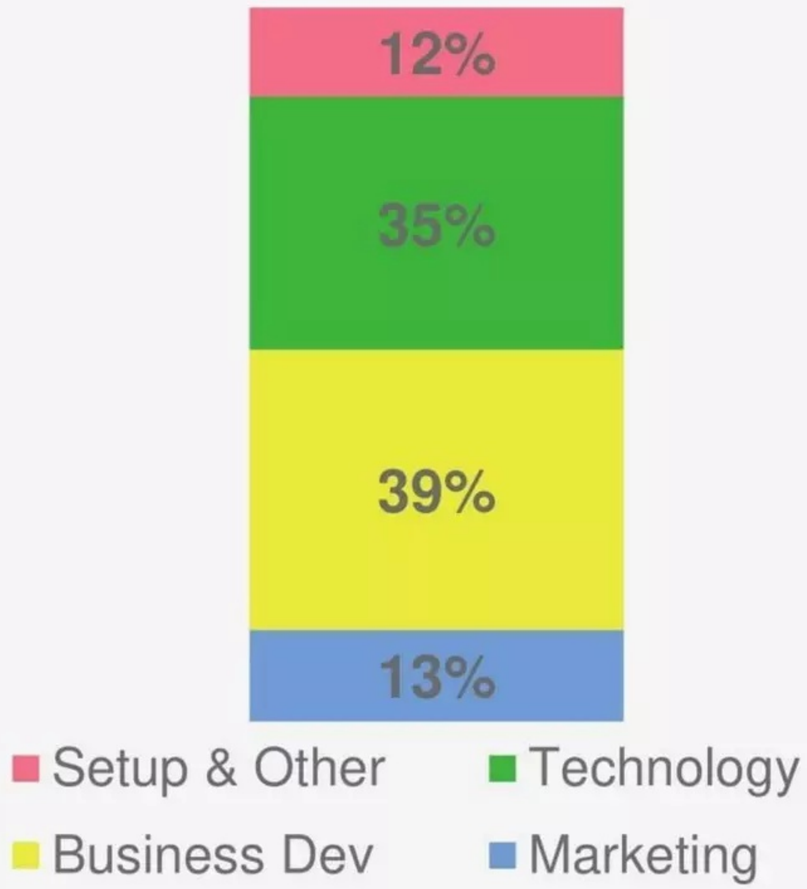
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Our fundraising round and milestones

USD $200,000

($1 million post-money valuation)

Uses of funds



Execution plan

- Immediate setup and launch of operations in São Paulo (utilizing current web app) with Beta testers who already signed up from Vila Mariana and Pinheiros
- Focus on acquiring e-commerce and power seller users within the same geographical area
- Development of back-end and operational infrastructure
- Acquire individual users via our mobile app (month 4)
- Expand geographical reach

Key milestones (month 6)

- **3,000** users
- **1,800** pickups, 4 full-time messengers
- **R$ 100,000+** in revenues

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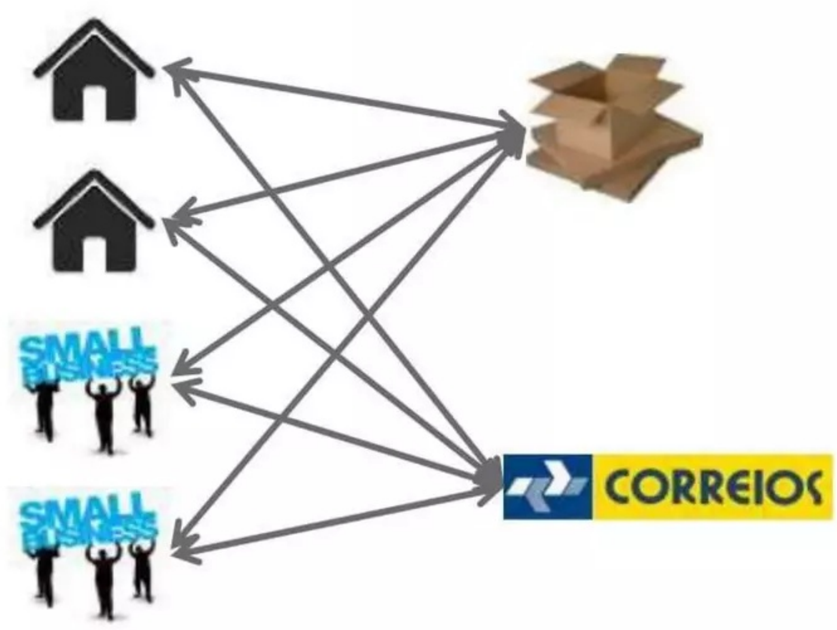
Why Mandaê?

- ✓ Large market with frequent usage and high recurring revenue
  - **127mm** shipments by **54 million** households
  - **21mm** shipments by **3+ million** sellers via marketplaces
  - **67mm** shipments by **29,000+** e-commerce stores
  - **R$ 30 ~ R$ 53** average shipping cost
- ✓ Solves an obvious pain point and takes friction out of shipping
- ✓ Business model has been successfully tested with satisfied beta testers and 100+ customers on our wait list
- ✓ Longer-term opportunity to create a full-service local logistics solution
- ✓ Great team with logistics, e-commerce and growth experience

Appendix

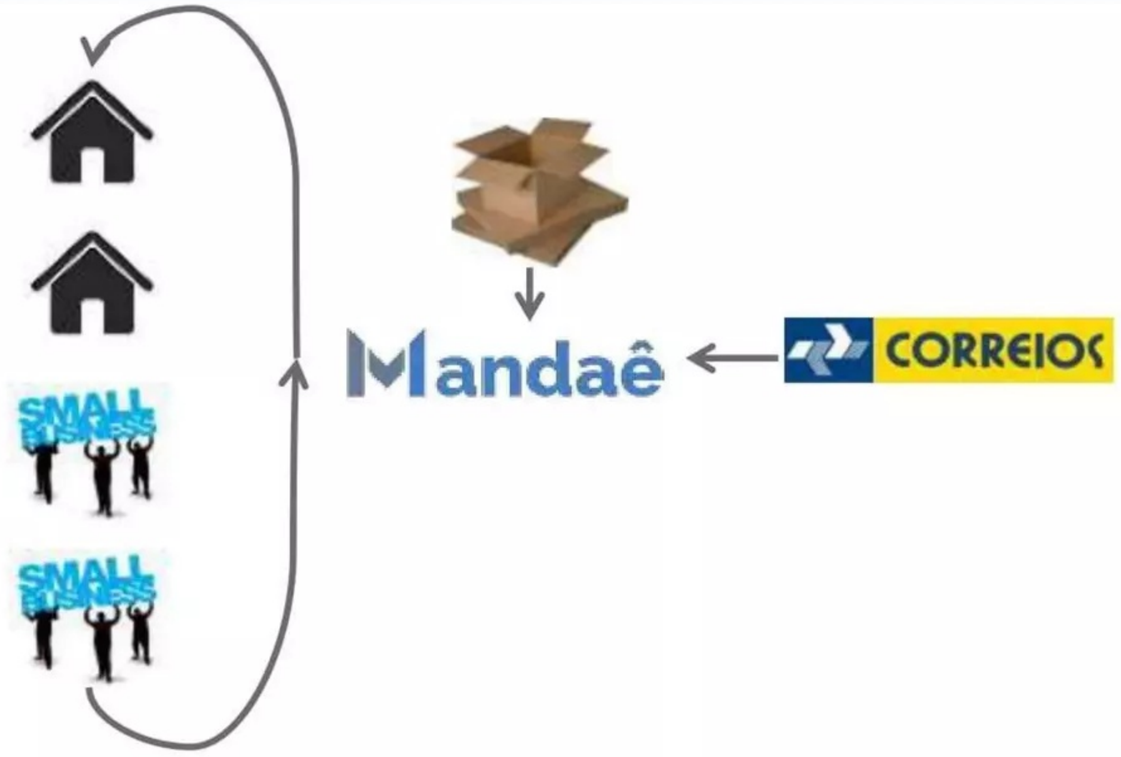
Mandaê is a collaborative consumption model that strips inefficiencies out of the system

Individuals & small businesses currently send stuff like this...



- Each sender must find/purchase their own packaging
- Each takes their shipments to the post office (with each making round trips)

... but pooling shipments makes the system more efficient



- Optimized pickup routes to/from each sender & one pickup from carrier = reduced distance/time travelled
- Pooling of shipments = increased shipping discounts
- Volume purchases of packaging from wholesalers
- Savings of time, resources and money across system

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Our market is **NOT** the same as the local-delivery market (couriers / motoboys)



Scheduling

- Several motoboy scheduling apps have appeared and received funding within the last 6 months:

vaimoto	▪ R$2 million from various angel investors
Loggi	▪ R$2 million from COO of Uber, Bolt Ventures and others
Others:	99 MOOS; MOTOMAN – A Evolução do Motoboy

Motoboy industry

- Over 1.5 million motoboys throughout Brazil
- Over 500,000 in São Paulo (state) and 200,000 in São Paulo (city) alone
- São Paulo state market estimated to be R$2.2 billion

- **The market we participate in is larger**
- But the motoboy market is one we could enter in the future

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Unit economics calculation

Unit economics (per item)[1]

	R$	%
Avg. shipping revenue	20	*77%*
Pickup fee (wtd avg)	6	*23%*
Revenue per package	**26**	***100%***
Shipping costs	9	*35%*
Pickup costs	2	*9%*
Packing & Materials	1	*5%*
Payment processing	1	*4%*
Costs per package	14	*52%*
Contribution / package	**12**	***48%***

Notes

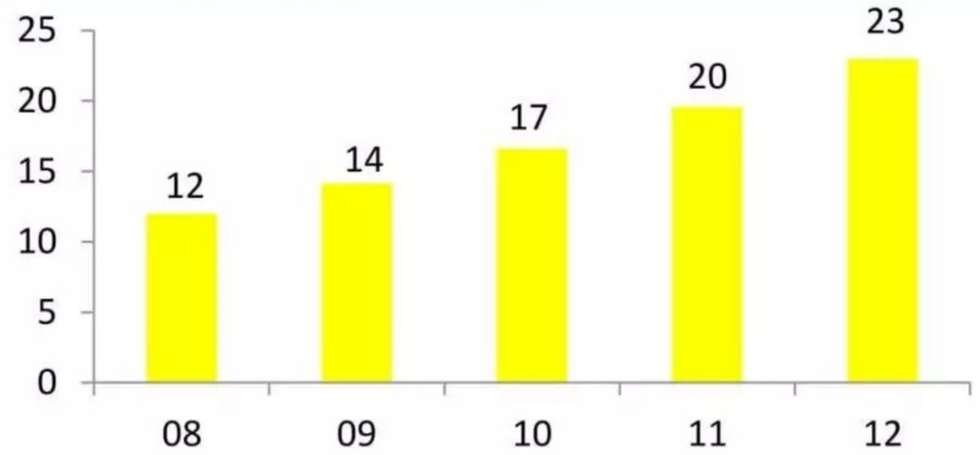
- Assumes scenario of modestly higher volumes, which implies a degree of optimization.
- Pickup fee stated on a weighted average basis; assumes 60% of pickups are 1-item pickups, 25% are 2 items, and the remainder split evenly between 3-, 4-, and 5-item pickups.
- "Packing & materials" includes estimated labor costs of packaging the items plus packaging material costs.
- Payment processing costs assume use of an optimized payment system, which includes a payment processor and credit card storage/repeat-billing service provider such as Cielo / CobreBem (based on their actual rates).
- Pickup costs are based on motoboy & fuel ***costs*** (NOT motoboy ***retail prices***, which are over 2x costs). Also note that this calculation is on a per ***item*** basis: with our routing system, ***several items may be picked up at each stop, and each trip may include several stops***. As we optimize the number of stops and items per route, pickup costs per item decrease substantially.

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Historical growth proxy of our customer segments

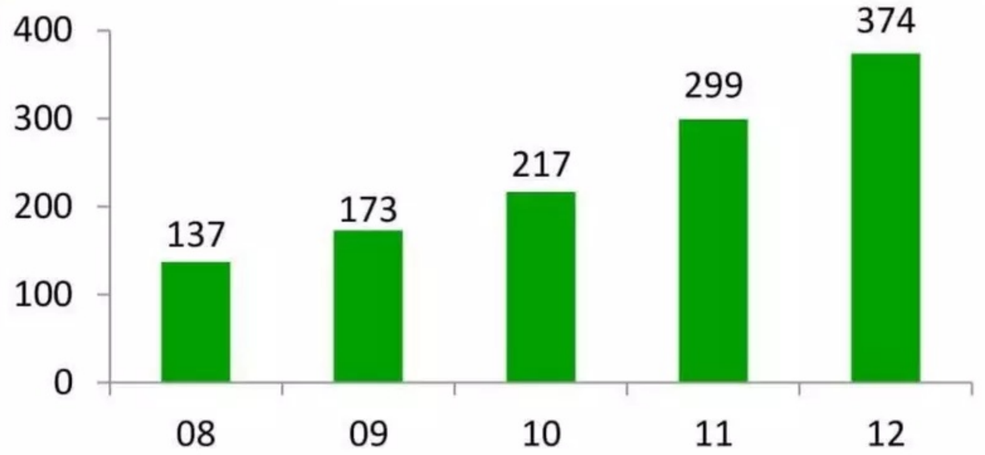
Brazil e-commerce

Number of e-Commerces (thousands)



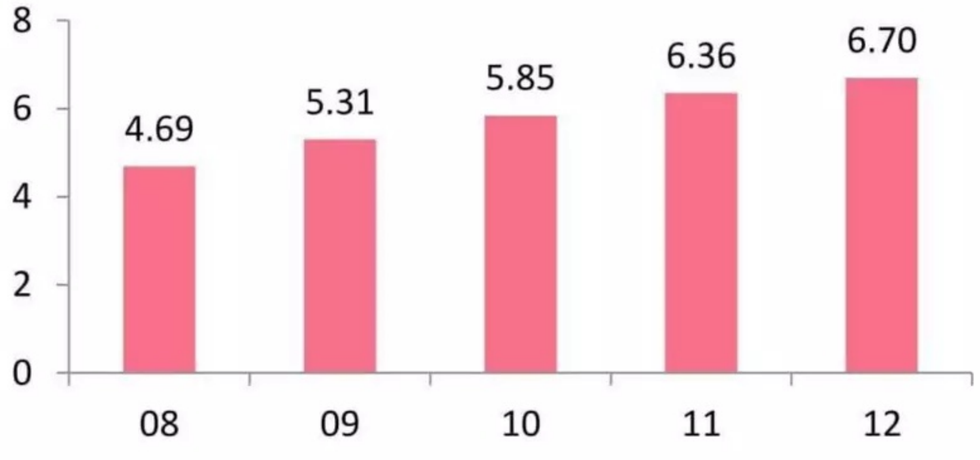
Mercado Livre

Revenues (US$mm)

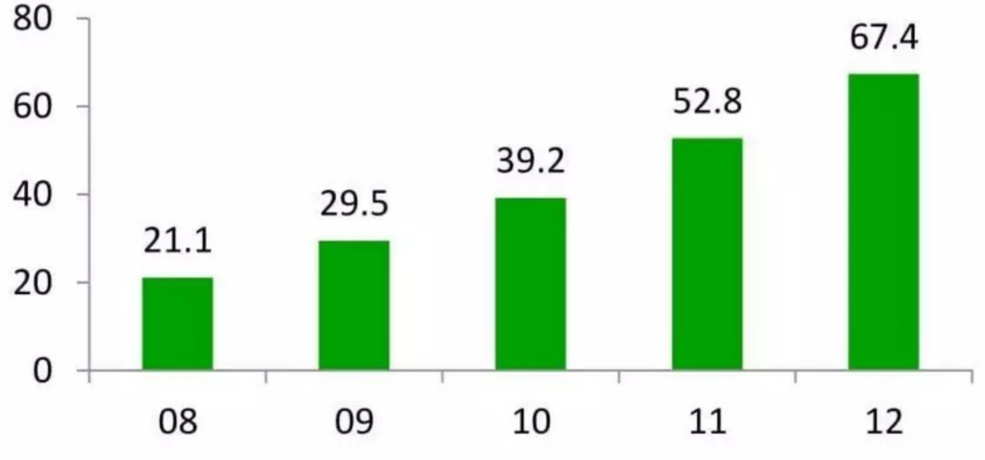


Correios

Revenues (US$bn)



Items sold (mm)



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Growth in target markets and projected Mandaê customer base

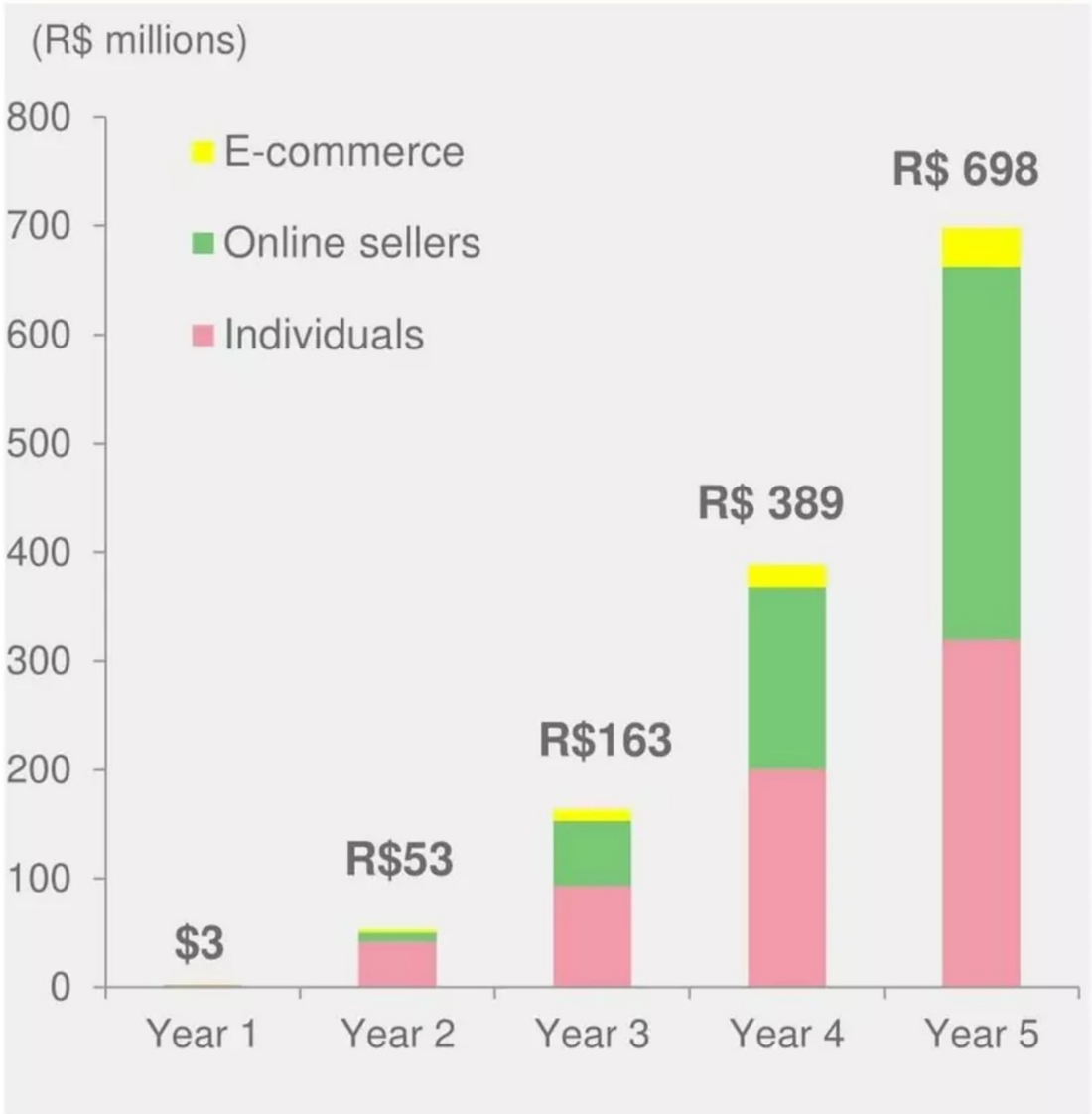
		Year 1	Year 2	Year 3	Year 4	Year 5
Target markets	**BRL targeted market (R$ bn)**	**9.1**	**10.0**	**10.9**	**11.7**	**12.6**
	No. of households	54,000,000	54,810,000	55,577,000	56,299,000	56,975,000
	No. of internet sellers	3,000,000	3,450,000	3,915,000	4,385,000	4,846,000
	No. of e-commerce stores	29,000	36,250	45,000	56,500	71,000
	Total	**57,029,000**	**58,296,250**	**59,537,000**	**60,740,500**	**61,892,000**
Mandaê customer base	Individual users	82,000	1,125,000	2,200,000	3,300,000	4,300,000
	% market share	*0.2%*	*2.1%*	*4.0%*	*5,.9%*	*7.5%*
	Internet sellers	2,900	45,000	150,000	330,000	600,000
	% market share	*0.1%*	*1.3%*	*3.8%*	*7.5%*	*12.4%*
	E-commerce stores	250	3,500	6,250	9,500	13,000
	% market share	*0.9%*	*9.7%*	*13.9%*	*16.8%*	*18.3%*
	Total	**85,150**	**1,173,500**	**2,356,250**	**3,639,500**	**4,913,000**

Note: Projected revenues (shown earlier in this presentation) were calculated based off of these customer base projections using the same assumptions that were used to calculate the LTV's of our customer segments (weighted average shipping revenue of R$26 / item, utilization % and annual shipments) Target market growth rates were estimated using census projections/Correios' growth rates, projected growth rates of marketplaces such as MercadoLivre, and projections for Brazilian e-commerce growth

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By making shipping easy, our vision is to help more people ship even more stuff

Projected Mandaê gross revenues



This creates value for everybody...

- More people and e-commerce stores can sell more stuff online, benefitting the broader economy
- More shipment volume for Correios and other carriers, thereby increasing the size of the entire shipments "pie"

...which in turn accrues to Mandaê

- Compelling solution creates a case for high adoption, usage and revenues

Note: See appendix for further details regarding market, customer base, and revenue forecasts

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Customer lifetime value calculations

General assumptions

Revenue per shipment	R$26	Inflation / price increases	6%
Contribution margin	40%	Discount rate	15%

Per segment LTV calculations

Year:	1	2	3	Total
Discount factor:	0,5	1,5	2,5	
Individuals				
Yearly sales	R$60	R$43	R$23	
Gross profit	R$24	R$17	R$9	
Present value of sales	R$52	R$32	R$15	R$100
Present value of gross profit	**R$22**	**R$14**	**R$6**	**R$43**
Internet sellers				
Yearly sales	R$578	R$409	R$217	
Gross profit	R$231	R$163	R$87	
Present value of sales	R$503	R$309	R$142	R$954
Present value of gross profit	**R$216**	**R$133**	**R$61**	**R$409**
Small e-commerce				
Yearly sales	R$2.891	R$1.532	R$0	
Gross profit	R$1.156	R$613	R$0	
Present value of sales	R$2.514	R$1.159	R$0	R$3.673
Present value of gross profit	**R$1.078**	**R$497**	**R$0**	**R$1.575**

Segment assumptions:	
% utilization of Mandaê	75%
Packages per year	3
Yearly attrition	33%

Segment assumptions:	
% utilization of Mandaê	90%
Packages per year	24
Yearly attrition	33%

Segment assumptions:	
% utilization of Mandaê	90%
Packages per year	120
Yearly attrition	50%

Note: See page on Market for details on Segmented Addressable Market for each customer segment. The assumptions used above fall within general macro statistics or have been reasonably adjusted for customer type. E.g., average shipments by internet sellers is 7/year; we adjusted to 24 to account for greater power seller concentration. Average shipments per e-commerce store is 2,319; we used a significantly more conservative estimate of 120. We also used a more conservative average shipment cost estimate; average industry shipment spend per package is between R$30-R$50.

First-year monthly forecast

BRL R$	Mo-1	Mo-2	Mo-3	Mo-4	Mo-5	Mo-6	Mo-7	Mo-8	Mo-9	Mo-10	Mo-11	Mo-12	Year 1
Net revenue	**R$2.720**	**R$8.420**	**R$14.982**	**R$30.556**	**R$44.911**	**R$65.650**	**R$97.153**	**R$155.824**	**R$249.411**	**R$418.197**	**R$620.446**	**R$876.786**	**R$2.585.056**
% growth	*n/a*	*210%*	*78%*	*104%*	*47%*	*46%*	*48%*	*60%*	*60%*	*68%*	*48%*	*41%*	*195%*
Shipping - COGS	2.700	7.351	12.281	22.038	29.993	40.239	58.280	84.199	131.375	215.035	315.255	442.075	1.360.821
% revenue	*99%*	*87%*	*82%*	*72%*	*67%*	*61%*	*60%*	*54%*	*53%*	*51%*	*51%*	*50%*	*53%*
Pickup - COGS	189	677	1.244	2.941	4.442	6.704	9.006	15.130	25.096	43.412	65.377	93.273	267.491
% revenue	*7%*	*8%*	*8%*	*10%*	*10%*	*10%*	*9%*	*10%*	*10%*	*10%*	*11%*	*11%*	*10%*
All other - COGS	501	1.311	1.597	3.044	4.419	6.352	6.286	9.780	15.260	24.977	36.618	51.349	161.493
% revenue	*18%*	*16%*	*11%*	*10%*	*10%*	*10%*	*6%*	*6%*	*6%*	*6%*	*6%*	*6%*	*6%*
Gross profit	**(R$670)**	**(R$918)**	**(R$140)**	**R$2.533**	**R$6.057**	**R$12.355**	**R$23.581**	**R$46.716**	**R$77.680**	**R$134.773**	**R$203.196**	**R$290.089**	**R$795.251**
% margin	*-25%*	*-11%*	*-1%*	*8%*	*13%*	*19%*	*24%*	*30%*	*31%*	*32%*	*33%*	*33%*	*31%*
Sales & marketing	325	2.205	2.305	3.830	4.785	6.345	9.210	13.815	22.120	37.535	55.895	78.285	236.655
Technology	19.859	22.734	22.762	22.847	22.922	23.035	23.215	23.565	24.134	25.181	26.436	28.030	284.719
General & administrative	24.122	30.127	28.840	31.121	34.202	36.241	43.307	46.294	54.943	91.235	100.037	122.613	643.082
EBITDA	**(R$44.977)**	**(R$55.985)**	**(R$54.047)**	**(R$55.264)**	**(R$55.853)**	**(R$53.266)**	**(R$52.151)**	**(R$36.958)**	**(R$23.517)**	**(R$19.178)**	**R$20.829**	**R$61.160**	**(R$369.205)**
% margin	*n/a*	*n/a*	*n/a*	*n/a*	*n/a*	*n/a*	*n/a*	*n/a*	*n/a*	*n/a*	*3%*	*7%*	*n/a*
Memo: Other key statistics													
Users:													
Individuals	0	0	0	400	1.080	2.272	4.420	8.344	15.744	29.918	51.865	82.764	82.764
Online sellers	0	75	166	278	416	588	799	1.062	1.388	1.794	2.299	2.928	2.928
E-commerce	15	30	47	64	82	103	124	147	172	199	227	258	258
Total users	15	105	213	742	1.579	2.962	5.343	9.553	17.304	31.910	54.390	85.950	85.950
% growth	*n/a*	*603%*	*102%*	*248%*	*113%*	*88%*	*80%*	*79%*	*81%*	*84%*	*70%*	*58%*	
Average revenues per pickup:													
Individuals	R$0	R$0	R$0	R$32	R$32	R$32	R$32	R$32	R$32	R$32	R$32	R$32	R$32
Online sellers	0	40	40	40	40	40	40	40	40	40	40	40	40
E-commerce	58	58	58	58	58	58	58	58	58	58	58	58	58
Weighted average	R$58	R$50	R$49	R$42	R$41	R$40	R$38	R$36	R$35	R$34	R$34	R$33	R$34
Average revenues per package:													
Individuals	R$0	R$0	R$0	R$27	R$27	R$27	R$27	R$27	R$27	R$27	R$27	R$27	R$27
Online sellers	0	22	22	22	22	22	22	22	22	22	22	22	22
E-commerce	20	20	20	20	20	20	20	20	20	20	20	20	20
Weighted average	R$20	R$21	R$21	R$22	R$23	R$23	R$24	R$24	R$25	R$26	R$26	R$26	R$25

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Five-year projections

BRL R$	Year 1	Year 2	Year 3	Year 4	Year 5
Net revenue	**R$2.585.056**	**R$52.936.031**	**R$161.640.940**	**R$384.779.668**	**R$691.082.575**
% growth	*n/a*	*1948%*	*205%*	*138%*	*80%*
Shipping - COGS	1.360.821	23.368.427	67.816.596	164.583.616	301.243.021
% revenue	*53%*	*44%*	*42%*	*43%*	*44%*
Pickup - COGS	267.491	3.236.449	8.420.308	18.879.769	31.785.630
% revenue	*10%*	*6%*	*5%*	*5%*	*5%*
All other - COGS	161.493	3.070.855	9.643.501	22.740.443	40.477.270
% revenue	*6%*	*6%*	*6%*	*6%*	*6%*
Gross profit	**R$795.251**	**R$23.260.300**	**R$75.760.536**	**R$178.575.841**	**R$317.576.654**
% margin	*31%*	*44%*	*47%*	*46%*	*46%*
Sales & marketing	236.655	4.979.148	7.573.729	11.289.463	15.248.342
Technology	284.719	495.510	927.414	1.350.924	1.899.759
General & administrative	643.082	5.430.947	19.602.802	45.154.718	79.734.359
EBITDA	**(R$369.205)**	**R$12.354.695**	**R$47.656.592**	**R$120.780.736**	**R$220.694.194**
% margin	*n/a*	*23%*	*29%*	*31%*	*32%*
Memo: Other key statistics					
Users:					
Individuals	82.764	1.126.076	2.190.745	3.292.991	4.348.936
Online sellers	2.928	45.148	151.639	330.544	587.720
E-commerce	258	3.542	6.351	9.474	12.791
Total users	85.950	1.174.766	2.348.735	3.633.009	4.949.447
% growth	*n/a*	*1267%*	*100%*	*55%*	*36%*
Average revenues per pickup:					
Individuals	R$32	R$33	R$34	R$36	R$38
Online sellers	40	42	45	47	50
E-commerce	58	61	65	69	73
Weighted average	R$34	R$35	R$39	R$41	R$44
Average revenues per package:					
Individuals	R$27	R$29	R$30	R$31	R$33
Online sellers	22	23	24	26	27
E-commerce	20	22	23	24	26
Weighted average	R$25	R$27	R$27	R$28	R$29

Mandaê

Key modeling assumptions

- General pricing assumptions assume average shipping revenue / item of R$ 20 (with 6% annual inflation increases), plus a R$10 pickup fee for 1-item orders
- Customer segment assumptions:
  - **Individuals**: 3 shipments / year, 75% utilization of Mandaê, 33% annual attrition rate, 1.1 items per pickup, R$ 32 in revenues per pickup. CPA of between R$ 2 and R$ 5.
  - **Online sellers:** 24 shipments / year, 90% utilization of Mandaê, 33% annual attrition rate, 1.8 items per pickup, 1.1 visits per month, R$ 40 in revenues per pickup. CPA of R$ 5.
  - **E-commerce:** 120 shipments / year, 90% utilization of Mandaê, 50% annual attrition rate, 2.9 items per pickup, 3.5 visits per month, R$ 58 in revenues per pickup. CPA of R$ 5.
- Shipping costs conservatively calculated using standard contract pricing tables published by the Correios (Brazil's postal service)
  - Costs are based on published contract tables, not hypothetical volume discounts
  - Costs decrease quickly with incremental volume increases
  - Our aggregate shipping costs will vary depending on the shipment destinations. We used conservative assumptions, meaning we assumed unfavorable routes and discounts. We anticipate that in reality, we'll be able to realize higher cost-savings than what's assumed in our financial plan.

Mandaê

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Thank you!

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